

SCHEDULE OF COMPROMISE PENALTIES FOR REGISTRATION, INVOICING, BOOKKEEPING AND COMPLIANCE REQUIREMENTS

CODE SEC/ LEGAL BASIS	NATURE OF VIOLATION	CRIMINAL PENALTY IMPOSED	AMOUNT OF COMPROMISE
A. Registration Requirements			
236/258	Failure to Register (branch/other line of business/facility)	Fine of not less than P5,000 but not more than P20,000 and imprisonment of not less than 6 months but not more than 2 years	If the subject establishment is located in the following: a. Cities 20,000* b. 1st class municipalities 10,000* c. 2nd class municipalities 5,000* d. 3rd class municipalities 2,000* * Penalties provided are inclusive of all other violations
236/275	Failure to Pay & Display the Annual Registration Fee (BIR Form 0605)	Fine of not more than 1,000 or imprisonment of not more than 6 months (Sec. 275, NIRC)	P 1,000
258	Failure to pay annual registration fee by a person engaged in the business of distilling, rectifying, repacking, compounding or manufacturing article subject to excise tax	Fine of not less than P30,000 but not more than P50,000 and suffer imprisonment of not less than 2 years but not more than 4 years	a. Cities 30,000 b. 1st class municipalities 20,000 c. 2nd class municipalities 15,000 d. 3rd class municipalities 10,000
236/275	No Certificate of Registration displayed	Fine of not more than 1,000 or imprisonment of not more than 6 months (Sec. 275, NIRC)	P 1,000
B. Invoicing Requirements			
236/275	Failure to display the poster "Ask for BIR Receipt" or "Notice to the Public to demand receipts / invoice"	Fine of not more than 1,000 or imprisonment of not more than 6 months, or both. (Sec 275, NIRC)	P 1,000
236/275	Failure to attach or paste authorized sticker/DECAL authorizing the use of CRM/POS/CAS		P 1,000
	Failure to present application form (BIR Form 1900 and 1905) to use registered sales books/permit to use loose leaf sales books	Fine of not more than 1,000 or imprisonment of not more than 6 months, or both. (Sec 275, NIRC)	P 1,000 per unit

264	a) Failure or refusal to issue receipts or sales or commercial invoices; issuing receipts invoices not truly reflecting and/or containing all information required therein or using multiple or double receipts or invoices	Fine of not less than P1,000 but not more than P50,000 and imprisonment of not less than four (4) years	Specific Violation	First Offense	Second Offense
			a) For failure to issue receipts or sales or sales or commercial invoices	P 10,000	P 20,000 Subsequent violations shall not be subject to compromise.
			b) For refusal to issue receipts or sales or commercial invoices	P 25,000	P 50,000 Subsequent violations shall not be subject to compromise.
			If the information missing is the correct amount of the transaction	P 20,000	P 50,000 Subsequent violations shall not be subject to compromise.
			c) For issuance of receipts that do not truly reflect and/or contain all the information required to be shown therein	P 5,000	P 10,000 Subsequent violations shall not be subject to compromise.
			If the duplicate copy of the invoice is blank but the original copy thereof is detached from the booklet and cannot be accounted for	P 20,000	P 50,000 Subsequent violations shall not be subject to compromise.
			If the amount of the transaction stated in the taxpayer's copy is understated versus the amount per copy of the invoice issue to the purchaser	Not qualified for compromise	
			d) (i) For use of unregistered receipts or invoices	P 20,000	P 50,000 Subsequent violations shall not be subject to compromise.
			(ii) Use of unregistered cash register machines in lieu of invoices or receipts	P25,000/unit	P50,000/unit Subsequent violations shall not be subject to compromise.
			e) For possession or use of multiple or double receipts or invoices	Not qualified for compromise	
			f) For printing or causing, aiding or abetting the printing of:		

			1) Receipts or invoices without authority from the BIR	P 25,000 P 50,000 Subsequent violations shall not be subject to compromise.	
			2) Double or multiple sets of receipts or invoices	Not qualified for compromise	
			3) Receipts or invoices bearing any of the following:	P 20,000 P 50,000 Subsequent violations shall not be subject to compromise.	
			a. Consecutive numbers b. Name of Taxpayer c. Business Style d. Business address of the person or entity to use the same e. TIN f. Name, address, date, authority no. of the printer and inclusive serial numbers of the batch or receipts printed		
238/275	Failure of the printer to submit the required quarterly report (Sec. 238, NIRC)	Fine of not more than P1,000 or imprisonment of not more than 6 months or both	First Offense		Second Offense
			P 5,000 Subsequent offenses shall be considered as willful failure, and thus not subject to compromise		P 10,000
RMO 9-2006	Use of receipts/ invoices other than where it is registered				
Sec. 2, RR 26-2003	Failure to present PCD, Sworn Statement, & ATP during Inspection (REVENUE REGULATIONS NO. 26-2003 Section 2. In lieu of the usual stamping of the BIR registration on every booklet of manually-printed receipts and invoices to confirm or signify registration thereof, the printer indicated in the BIR duly approved “Authority to Print Receipts and/or Invoices” (ATP) shall issue to the taxpayer a duly stamped BIR-registered “Printer’s Certificate of Delivery of Receipts and Invoices” (PCD)– Annex “A” for printed receipt and invoices which shall be made available and ready for		P1,000		

	inspection anytime by duly authorized revenue personnel. Consequently, manually-printed receipts/invoices are deemed duly registered receipts or invoices as required under Section 237 of the National Internal Revenue Code of 1997 only if they are covered by a duly approved and issued “Authority to Print Receipts and/or Invoices” and BIR-registered “Printer’s Certificate of Delivery or Receipts and Invoices.”)		
C. Bookkeeping Requirements			
232/235	Failure to keep/preserve records required by law or regulations	Fine of not more than P1,000 or imprisonment for not more than (six) 6 months, or both. (Sec. 275, NIRC)	
Sec 10.1.1 of RR 11-2004	Failure to register Books of Accounts (Revenue Regulations No. 11-2004. Section 10.1.1 —A duly registered cash register sales book shall be maintained for each machine used, showing the columns required under Section 2.3 of RR No 10-99)		
Sec. 10.1.4 of RR 11-2004	Failure to keep Books of Accounts at the place of business. (Revenue Regulations No. 11-2004. Section 10.1.4 —The subsidiary cash register sales book shall be kept at all times at the place where the CRM is located, and shall be available at any time for verification by duly authorized internal revenue officers. <i>All accounting records shall be preserved for a period within which the Commissioner is authorized to make an assessment and collection of the taxes so assessed as prescribed in Sections 203 and 222 of the NIRC, as amended.</i>		
D. CRM/POS Requirements			

Sec 11 RR 11-2004	Incomplete information in the tape receipts (Revenue Regulations 11-2004. Section 11 Summary List of Machines Sold—All machines distributor/dealer/vendor shall submit electronically (e-mail or web) to the LTAD 1 or II/LTDO (for Large Taxpayers) or to the RDO concerned (for Regular taxpayers), a Summary List of Machines Sold (Annex C), within fifteen (15) days from the end of each taxable quarter. The Summary List shall provide the following information: a) Machine accreditation-registration number; b) BIR Issued Provisional Permit Number; c) Brand and Model of the machine; d) Date of sale; e) Date of registration)		
Sec 264/RMO 19-2007	Use of Unregistered CRM/POS or similar devices (See Invoicing Requirements)		
Sec 12 RR 11-2004	Failure to register CRM as Cash Depository only (Revenue Regulations 11-2004. Section 11-2004. Section 12 Cash register Machines Used for Internal Control—Any proprietor, owner or operator of a business establishment may use a register or POS machine of any type for “internal control purpose”, <i>Provided</i> that, duly registered sales invoices or receipts are issued for every sale. However, such proprietor, owner or operator shall first notify the machine distributor/dealer/vendor of his intention to use the machine solely for “internal control” purposes. The machine distributor/dealer/vendor shall likewise inform the appropriate Bureau office of such intention, and shall secure a poster from the said Office which shall be securely attached at the back of the machine conspicuous to the public, showing the following qualifier... xxx)		

Section 2.5 RR 10-99/ Sec 5.2 RR 11-2004	Failure to provide CRM with two roller tapes (Revenue Regulations 10-99. Section 2.5 <i>Condition for the Issuance of the Permit</i>—The Permit to use cash register and POS machines shall be granted subject to the following conditions: a) The machine shall be used exclusively in the operation of only one line of business covered by the permit. If the business is conducted simultaneously with another line of business for which no cash register permit is issued, sales made in such business shall be covered with the corresponding issuance of registered sales invoices or receipts; b) The machine should be equipped with two (2) rollers or its equivalent, one for the audit journal tape intended for audit and internal revenue purpose and the other for the customer’s tape which are issued as itemized and consecutively numbered receipts, PROVIDED, THAT, all tapes issued is of a quality that could be preserved for a period of within which the Commissioner is authorized to make an assessment and collection of the taxes so assessed as prescribed in Section 203 and 222 of National Internal Revenue Tax Code, as amended; c) When the machines is punched for the purpose of recording a sale, amount of sales should automatically printed on the customer’s tape receipt and on the audit journal tape or its equivalent)		
Sec 10.3.5 RR 11-2004	Failure to notify the Revenue District Officer regarding the transfer/repair/upgrading/status of machines of CRM/POS and other Similar Devices (Revenue Regulations 11-2004. Section 10.3.5 A machine who has been issued a Permit to Use CRM/POS Machine shall not have the machine required, upgraded, changed, modified, updated, or otherwise removed from its specified location, without prior written notice to the proper Bureau office having jurisdiction over the principal place of business of the proprietor.)		

Sec 10.3.4 RR 11-2004	Use of CRM/POS or similar devices in a place other than specified in the permit (Revenue Regulations 11-2004. Section 10.3.4 The machine user shall not change his business name or the use of the registered machine, or transfer to another business location, branch or establishment or otherwise, <i>without prior written notice to the bureau office having jurisdiction over the principal place of business of the proprietor.</i>)		
E. Compliance Requirements			
250	Failure to make, file, or submit the complete quarterly Summary Lists of Sales and Purchases-Local & Imported (SLSP), or supply correct and accurate information therein at the time or times required by the Tax Code, as amended, or other existing rules and regulations		One Thousand Pesos (₱1,000) for each failure to make, file, or submit the said information returns. Provided, however, that the aggregate amount to be imposed for such failures during a calendar year shall not exceed Twenty-Five Thousand Pesos (₱ 25,000). For this purpose, failure to supply the required information for each buyer or seller of goods and services shall constitute a single punishable act or omission pursuant to Revenue Memorandum Circular (RMC) No. 51-2009. Notwithstanding the foregoing, failure on the part of the taxpayer to make, file or submit the required complete Schedules of Sales/Purchases including Importations, if any, (SLS/P) at the time or times required by the Tax Code, as amended, and other existing rules and regulations under the following circumstances shall be considered as willful failure/neglect tantamount to fraud and thus cannot be compromised: (a) failure to submit for at least: • two (2) times in a taxable year, in the case of required complete SLS/P; (b) non-submission in the format prescribed. Complete Summary Lists refers to the set of Summary Lists of Sales (SLS) and Summary Lists of Purchases (SLP). In the case of those with importations, completeness shall include not only SLS and SLP but also the Summary Lists of Importations (SLI). Failure to submit the full/complete lists shall be counted as one violation.

			Thus, submission of incomplete lists, including the submission of erroneous lists, shall be considered as an act of non-submission. The submission of falsified information is an act of fraud and cannot be compromised. Non-compliance with a duly issued Subpoena Duces Tecum (SDT) is penalized under Sec. 266 of the Tax Code, as amended, and the prosecution thereof is provided under RMO No. 10-2013.
250	Failure to make, file or submit information returns, schedules, reports, sworn statements, certifications and other documents, (except quarterly SLS/P)		One Thousand Pesos (₱1,000) for each information return, schedule, report, sworn statement, certification and other document not made, filed or submitted, or for each record not maintained. Provided, however, that the aggregate amount to be imposed for such failures during a calendar year shall not exceed Twenty Five Thousand Pesos (₱25,000).
250	Failure to supply correct and accurate information in the information returns, schedules, reports, sworn statements, certifications and other documents (except quarterly SLS/P)		One Thousand Pesos (₱1,000) for each incorrect or erroneous information supplied in the information return, schedule, report, sworn statement, certification and other document. Provided, however, that the aggregate amount to be imposed for such failures during a calendar year shall not exceed Twenty Five Thousand Pesos (₱25,000).